UPFRONT

GRAPHIC: FAREWELL TO THE MiG-21 *PG 10*

VIEWPOINT: SAUDI-PAKISTAN PACT *PG 12*



CHANDRADEEP KUMAR

SEASON TRENDS
Will soaring gold prices dull its festive sparkle?

▶ ECONOMY

THE TWIN BULLION BOOM

Gold, silver surge to record highs, reaffirming their old allure and also their value as a safe hedge in rough times for investors, central banks

By M.G. ARUN

ALL THAT GLITTERS IN INDIA THIS FESTIVE SEASON IS NOT JUST GOLD—SILVER TOO IS STEALING SOME OF THE SHINE. Both precious metals have surged in recent weeks, creating ripples across futures markets and retail counters. Gold, the traditional favourite, has crossed the mark of Rs 1 lakh per 10 grams ahead of Dussehra, Dhanteras and Diwali, festivals long associated with auspicious purchases. In fact, nearly a third of India's annual gold sales take place in the October-December quarter.

On September 16, prices for 24-karat gold touched Rs 1.12 lakh per 10 grams in Delhi, driven by global uncertainty and geopolitical tensions that reinforced its status as a safe-haven asset. But on September 18, the US Federal Reserve cut interest rates by 25 basis points, and a stronger dollar alongside a brighter outlook for equities nudged gold prices down to Rs 1.11 lakh per 10 grams the following day. Prices have since risen again, touching Rs 1.13 lakh on September 22. Some analysts predict prices